Rolls Royce Bribery

Presented by Group 4 a.k.a “G4”

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What is Rolls Royce?

- British car company, founded in 1906.
- Extremely luxurious, iconic, and expensive.
- Renowned for designing and manufacturing.
- Known for Aerospace, Defence and Power systems.

The Rolls-Royce bribery scandal

- Spanned around until 2017.
- Involves multiple countries (UK, USA, and Brazil).
- £671 million bribery.

Timeline of events

- Early 2000s: Allegations begin.
- 2012: Investigations start.
- 2017: Settlement reached.

Parties Involved: Rolls-Royce

- Directly responsible for bribery schemes.
- Key departments involved:
  - Aerospace department.
  - Energy department.

Parties Involved: Other Parties

- Government Officials.
- Intermediaries/Agents.
- Regulatory bodies:
  - UK Serious Fraud Office (SFO)
  - US Department of Justice (DOJ)
  - Brazilian authorities.

Key Countries Involved

- Indonesia, India, China, Russia, Brazil, Malaysia.
- Notable cases:
  - Indonesia: Garuda Indonesia’s CEO.
  - Brazil: Petrobras scandal.

Corrupt Practices: Methods & Evidence

- Methods:
  - Use of intermediaries to bribe officials.
  - Payments to secure government contracts.
- Evidence:
  - Emails, Financial records, Whistleblower reports.

Legal Actions and Penalties

- Total Settlement: £671 million
  - UK: £497 million.
  - US: $170 million.
  - Brazil: $25 million.
- Deferred Prosecution Agreements (DPAs):
  - Allowed Rolls-Royce to avoid criminal charges.
  - Committed to improving compliance and governance.

Impact on Rolls-Royce

- Financial & Reputational damage:
  - High cost of settlement.
  - Loss of stakeholder trust.
- Corporate damage:
  - Stricter compliance measures implemented.
  - Leadership changes and improved policies.
- Negative impact on global markets and public trust.

Lessons Learned

- Importance of:
  - Transparency in business dealings.
  - Regulatory oversight.

Conclusion

- Significance of the case:
  - Largest UK corporate bribery settlement.
  - Exposed global corruption in business.
- Key Takeaways:
  - Strong compliance and ethical policies are essential.
  - Governments must enforce stricter regulations.
  - Transparency is key to maintaining trust.

Q&A

Any questions ?